

Treasure Management

BBA — 8th Semester — 2018 — Answer Sheet

Subject Code: BNK207

Note: This answer sheet is currently a template. Detailed answers will be added progressively. Students are encouraged to refer to textbooks and class notes.

Section A

1. Treasury department of bank invest most of money in risky assets to earn high profit.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

2. Front office of treasury department monitors open currency position.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

3. Revolving deposit is a traditional type of saving deposit.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

4. Interbank borrowing is the long-term funds borrowed from the central bank.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

5. Statutory liquidity ratio is the maximum amount of liquid fund the bank has to maintain.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

6. Overdraft loans are of revolving nature and are to be renewed each year.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

7. Maintaining a diversified loan portfolio helps a bank reduce systematic risk.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

8. Non-price competition for deposits has tended to distort the allocation of scarce resources in the banking sector.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

9. If a bank expected interest rates to fall and if it wanted to profit from the decline, it should increase the duration of assets and shorten the duration of its liabilities.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

10. Assets liability committee is known as surplus management of the bank.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

Section B

Short Answer Questions:[6 × 5 = 30]

11. Explain the roles and functions of treasury department of commercial bank.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

12. How do you differentiate between front-office and back-office of treasury department?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

13. Define liquidity risk. How do you mitigate the liquidity risk in commercial bank?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

14. The loan pricing strategy has the direct impact on the profitability and goodwill of the bank.” Explain the statement.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

15. Describe the central bank’s regulation regarding asset liability management and treasury.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

16. What is investment portfolio? Describe the open market operation and interbank transaction.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

Section C

Comprehensive Answer Questions:[2 × 10 = 20]

17. Recent deregulation of the banking industry has encouraged bankers to think creatively about their deposit pricing policies and strategies. In light of this statement, describe the various deposit pricing models of banking sectors.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

18. Liquidity management is on-going process to ensure that cash needs can be met at reasonable cost in order for a bank to maintain the required level of reserves with central bank and to meet expected and contingent cash needs. In this connection, describe the estimation of liquidity.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

These answer sheets are prepared for educational purposes. Students are encouraged to verify with official textbooks and course materials.